

Costco Wholesale (COST) vs. Walmart (WMT) | Peer Comparison Report

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Peer Selection

The most natural peer for Costco is Walmart. Both are in the Consumer Defensive sector, both operate large-format retail stores, and both compete for the same customer in the same geography. Walmart is the closest true competitor on business model, customer base, and revenue scale, which makes it the right comparison.

Side-by-Side Financial Comparison

All figures in \$M, most recent fiscal year (2025)

	Costco	Walmart	Difference
Total Revenue (\$M)	275,235	680,985	
Revenue Growth	8.17%	5.07%	+1.05% (3yr avg)
Gross Margin	12.80%	24.90%	-12.10%
Operating Margin	3.80%	4.30%	-0.50%
FCF Margin	2.85%	1.86%	+0.99%
ROE	27.77%	22.15%	+5.62%
Net Debt/EBITDA	55.52%	86.17%	-30.66%
Avg Revenue Growth	6.59%	5.55%	+1.05%

Walmart has better unit economics as it primarily makes its profit from the margins on the goods sold. For both gross margin and operating margin, we see that Walmart has Costco beat by 12.1% and 0.5% respectively. Where Costco wins is on revenue growth, FCF margin, ROE, and leverage. Costco compounds revenue faster, generates more free cash per dollar of sales, earns a higher return on equity, and carries less debt relative to earnings. If both had the same PE ratio, I would buy Costco as it has shown historically to grow and compound better than Walmart has. We can see this as Costco has beat Walmart in ROE and Avg Rev Growth by 5.62% and 1.05% respectively.

Relative Valuation

	Costco	Walmart	Costco vs Own Avg	Walmart vs Own Avg
P/E (Current)	51.8x	40.7x	+6.88pts	+8.36pts
P/E (5yr Avg)	44.92x	32.34x		
EV/EBITDA (Current)	32.1x	19.9x	+4.82pts	+5.56pts

EV/EBITDA (5yr Avg)	27.28x	14.34x		
P/FCF (Current)	53.4x	62.4x	+2.78pts	+27.54pts

P/FCF (5yr Avg)	50.62x	34.86x		
P/S (Current)	1.5x	1.2x	+0.28pts	+0.42pts
P/S (5yr Avg)	1.22x	0.78x		

For all four aspects (PE, EV/EBITDA, P/FCF, and P/S), Walmart has been at a higher premium compared to its own historical data. On an absolute basis Costco is more expensive in all means except for P/FCF. Whereas based on its own history Walmart takes the title 4-0. Compared to its own historical finances, Walmart is a huge premium whereas Costco is a premium as well but not as expensive. Costco may have a higher PE ratio by about 11 points but comparing each to their own historical average Walmart actually beats Costco by about 1.48.

Verdict

Walmart wins on margins. Costco wins on growth, cash generation, return on equity, and balance sheet. Given that Costco has a greater Avg Rev Growth and ROE, and less Debt/EBITDA, I think the valuation gap is justified to Costco. Costco is fairly priced at a premium. Walmart looks overpriced relative to what it has historically been worth.

The single number that would change this view is Walmart's gross margin advantage of 12.1 percentage points. If Costco ever sees margin compression while Walmart holds its margins, that gap becomes a much bigger problem for the Costco thesis.